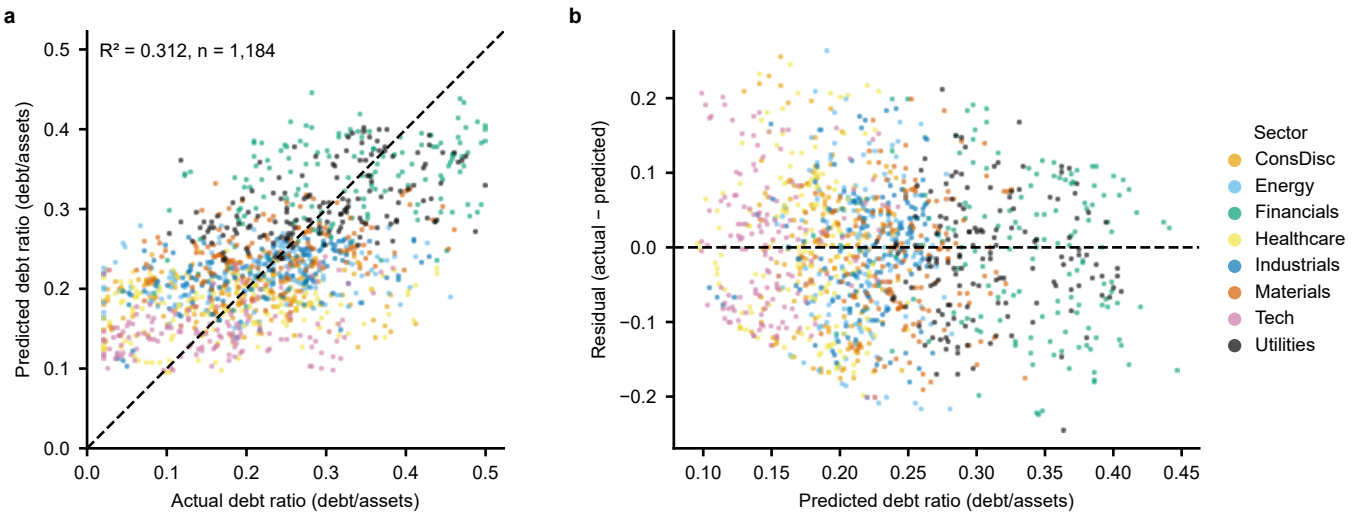

a
R² = 0.312, n = 1,184
Predicted debt ratio (debt/assets)
Actual debt ratio (debt/assets)
0.0
0.1
0.2
0.3
0.4
0.5
b
Residual (actual − predicted)
Predicted debt ratio (debt/assets)
−0.2
−0.1
0.0
0.1
0.2
0.10
0.15
0.20
0.25
0.30
0.35
0.40
0.45
Sector
ConsDisc
Energy
Financials
Healthcare
Industrials
Materials
Tech
Utilities